

Two, what happens when you exit a long-term product? You need to ask: Is there a cost to an early exit? For example, if you want to exit from a three-year bank deposit in two years, you can do that, but it usually costs you 0.5 per cent of interest forgone. Products like equity mutual funds, ULIPs and endowment plans should be bought with an investment horizon of at least five to thirty years. What happens if you exit earlier than the product term?

In open-ended mutual funds exit costs are used to keep investors in the product for a minimum amount of time. This is done using an 'exit load'. For example, liquid funds are like the savings deposit and there is no exit load. Most ultra-short-term funds don't have an exit load. Credit risk funds and debt funds that buy lower-quality paper to give a return kicker, usually have a 1 per cent or 1.5 per cent (that is, it will cost you 1 to 1.5 per cent of your money in the product as a cost to exit. If you had Rs 5 lakhs in a fund with an exit load of 1 per cent, and you exit before one year, then you'd pay Rs 5,000 on exit. You would get back Rs 4,95,000 if you exited before one year) before a holding period of 365 days as an exit load.

Some income (debt) funds cost as much as 2 per cent if you redeem before 540 days. Equity funds usually cost up to 1 per cent on redemptions before a year. Do ask: What is the exit load and the period that would be considered an early exit? Or look it up online. I find the website valueresearchonline.com a useful database to look at.

In a ULIP, if you want to redeem before five years, it costs you a maximum of Rs 6,000 – your money will move to a 'discontinuation fund' and still earn you a minimum interest. If you stop paying premiums after five years and want to redeem your investment, you will get the current NAV of your fund.

The biggest cost to your money comes in traditional plans. Whatever policy you buy – money-back, endowment, whole life, child plan – if you stop paying your premiums in the first three years of buying the product, you can lose all the money you have invested.

India's learned insurance regulator allows insurance companies to appropriate your money as 'costs'. These used to be booked as profits after two years some time ago. If you have heard of the term 'lapse profit', you know that some of the profits of life insurance companies came from the money you